

## CAPITAL MARKETS

# Pebb Capital's \$69M South Beach Buy Shows Office Debt Is Available Only at the Right Basis

ACORE Capital's loan reveals a lender willing to finance a specific thesis, not a broad market recovery.

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A source-grounded Light Tower Insight. The complete note follows.

ACORE Capital provided \$69 million in acquisition financing for Pebb Capital's purchase of the Uno office building in South Beach. The question a credit committee had to answer was not whether South Beach office is a good bet. It was whether this basis, this sponsor, and this building create a loan that survives a downturn.

The answer was yes. That yes is not a vote of confidence in office broadly. It is a risk-allocation choice that reveals where debt capital is willing to go and where it is not.

The building is a seven-story, 100,000-square-foot property at 119 Washington Avenue in the South of Fifth neighborhood. It has 106 covered parking spots. The seller, an entity managed by Cyril Bijaoui of Longstead at The Corcoran Group, has owned it since 2011 and renovated the interiors during the pandemic. A construction project to add about 10,000 square feet by converting a terrace was launched earlier this month. The sale price is not public, but the \$69 million loan suggests a price north of that figure.

Pebb Capital, led by Todd Rosenberg, is a Boca Raton-based firm that bought a mixed-use building in the Miami Design District for \$73 million with Jeff Sutton's Wharton Properties in January. This is not a first-time buyer testing the market. It is a sponsor with a track record and a specific thesis: boutique financial firms want South Beach office space near where their principals live.

That thesis is supported by real leasing activity. Hedge fund J. Goldman & Company signed a 10,000-square-foot lease at The Fifth, a nearby boutique building backed by Google billionaire Eric Schmidt. Ares Management opened a 10,500-square-foot office at Eighteen Sunset in Sunset Harbour. The demand is narrow, tenant-specific, and concentrated in the highest-quality product.

ACORE Capital's loan is the most revealing fact in the story. Private credit lenders like ACORE are not required to lend. They choose to lend when the risk-adjusted return clears their hurdle. The \$69 million loan tells us that ACORE saw a basis it could defend, a sponsor it could trust, and an asset with a credible leasing story. It does not tell us that ACORE is bullish on office. It tells us that ACORE is willing to finance this office.

The distinction matters because the market is still sorting which office assets get debt and which do not. The bifurcation is not between urban and suburban, or between Class A and Class B. It is between assets that have a defensible basis and a credible path to occupancy, and assets that do not. The Uno building has both. The renovation, the terrace conversion, and the location in South of Fifth give it a story. The leasing comps from The Fifth and Eighteen Sunset give it a market. The sponsor gives it execution credibility.

What the market should test next is whether this structure repeats. If other private credit lenders underwrite similar loans for similar assets in similar submarkets, the pattern is real. If this loan remains an outlier, it is a single credit decision, not a trend.

The seller's timing is also worth noting. Bijaoui's entity owned the building since 2011, through the post-GFC recovery, the pandemic, and the rate cycle. Selling now, after a renovation and with a construction project underway, suggests the seller saw a bid that cleared their basis. The buyer is paying for the renovation and the future rent roll, not the past. The lender is financing the buyer's thesis, not the seller's history.

For owners of office assets in secondary locations or with weaker sponsorship, this deal offers no comfort. The capital that financed this building would not finance theirs. The gap between the assets that get debt and the assets that do not is not closing. It is widening.

The loan is a specific risk-allocation choice. It is not a signal. It is a data point. The market should treat it as one.

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## SOURCES

— Commercial Observer —

<https://commercialobserver.com/2026/07/todd-rosenbergs-pebb-capital-miami-south-beach-uno/>

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